

Tulaberry Plaza Leasing Recommendation

Currently, Tulaberry Plaza is experiencing a significant vacancy rate of 33% and the WAULT (by Area) is at 4.61 years, which indicates the landlord can expect a significant leased space to expire and potential turnover within that timeframe.

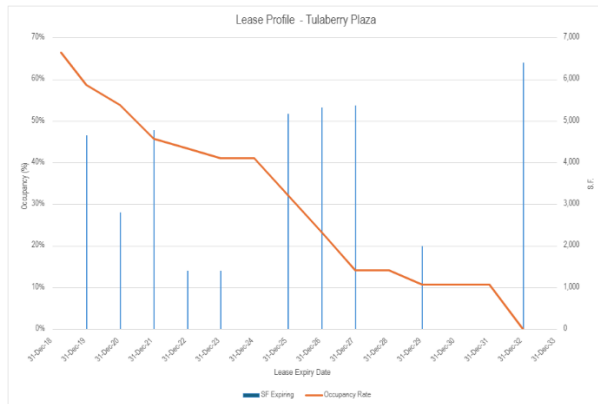


Figure (1-a): Lease Profile of Existing Tenant.



Figure (1-b): Lease Profile of Existing + Recommended Tenant

Approach to Problems

We consider both the quantitative and qualitative aspects equally important, so the final recommendation is assigned a 50:50 weighting between the two.

Quantitative Analysis:

We prioritized a key metric, Net Effective Rent (NER), which represents the actual rent income generated from a lease after accounting for concessions, leasing commission, tenant improvement costs and operating expenses, ensuring a clear understanding of long-term profitability.

Figure (2-a): NER for Anchor Tenant

	Walgreens	Harbor Freight	PetSmart	Planet Fitness
NER	\$11.79	\$13.28	\$17.23	\$13.82
Rank	4	3	1	2

Figure (2-b): NER for In-line Tenants

	Starbucks	Ben's Tux Rental	GameStop	Verizon
NER	\$30.15	\$32.21	\$47.97	\$38.39
Rank	4	3	1	2

Qualitative Analysis:

Since the plaza is focused on long-term investment returns, the Qualitative Analysis prioritizes all metrics with a forward-looking focus.

- **Target Demographics:** This analyzes community integration, focusing on how co-tenancy projections influence a business's ability to thrive, collaborate, and align with the plaza's needs. Some key metrics include the factors below.
 - Co-Tenancy Projections: Evaluate a tenant's impact on existing tenants and how they complement or enhance the overall tenant mix.
 - Demographics Fit Projections: Analyzes whether a tenant's target customer base aligns with the surrounding area's demographics to ensure a strong market fit.

- **Industry Segment:** This evaluation focuses on the long-term viability of industry segments. The key metrics include the factors below.
 - o Economic Sensitivity: Evaluates how susceptible the tenant's business is to economic downturns or fluctuations.
 - o Creditworthiness: Assesses the tenant's financial stability and ability to meet lease obligations.
 - o Lease Term Estimation: Estimates the lease duration based on tenant and market conditions.
 - o Customer Traffic: Measures the volume of foot traffic the tenant can generate or benefit from in the location.
- **Locational Preference:** This evaluates the matching score between prospective tenants' requirements and the suitability of our proposed anchor location.
- **Parking Requirements:** This assesses the prospective tenants' demand for parking. Given that the existing tenants' parking usage is moderate, there is potential to accommodate future tenants with higher parking needs.

Note: Find more specifics in the *Qualitative -Prospective tenant* tab.

Figure 4: Qualitative Scoring Matrix for Anchor

	Walgreens	Harbor Freight	PetSmart	Planet Fitness
Total	20	17	18	21
Rank	2	4	3	1

Figure 5: Qualitative Scoring Matrix for In-lines

	Starbucks	Salons	Verizon	GameStop
Average	4	4.6	4.4	3.8
Rank amongst all	4	1	2	6

Leasing Recommendation

We begin by analyzing the existing tenant profile of the plaza to identify its needs, combining financial and quantitative assessments. The proposed recommendation aims to create complementary synergy, as we believe a fitness tenant would align with the food and beverage offerings and benefit the health service tenants.

- **Anchor Tenant Recommendation** - Planet Fitness
- **Non-Anchor Tenant Recommendations** - Verizon, Salons, Starbucks, GameStop

Existing Tenant Profile

The plaza's leasing profile primarily consists of F&B, medical, and service tenants. Since we already have many F&B tenants, we prefer more retail-driven tenants who can enhance co-tenant synergy. Additionally, the existing tenants primarily target adults aged 30-50.

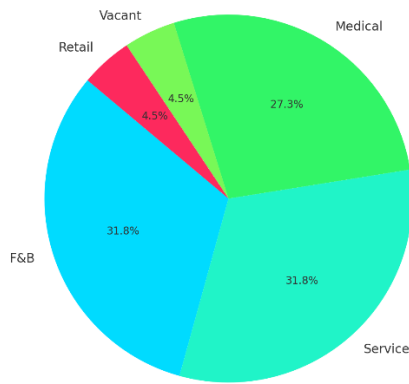


Figure (7-a): Tenant Sector Profile.

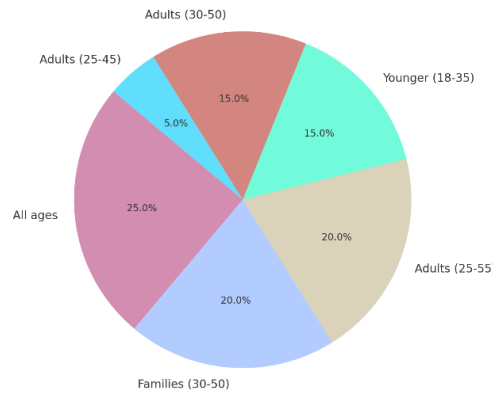


Figure (7-b): Tenant Customer Age Demographics



Figure (6-a): Site Plan of Existing



Figure (6-b): Site Plan of Proposed

Anchor Tenant (A-16-B to A-19) - Planet Fitness

Planet Fitness offers a competitive NER of \$13.82, ranking second after PetSmart. This strong financial metric reflects its potential for long-term profitability and its capacity to contribute significantly to the plaza's revenue. It can also generate high synergy with health and wellness tenants, as fitness centers complement medical practices (A-11, A-12, A-13) and food & beverage (B-section) tenants. Fitness traffic can drive visits to food and beverage outlets like restaurants and cafes.

In-line Tenant (A-15-B to A-16-A) – Starbucks

Starbucks, with its strong brand presence and a high NER of \$30.15, has the potential to significantly boost the plaza's revenue. It offers high synergy with food and beverage tenants (B-sections) and services that attract daily visitors, complementing both fast-casual dining and medical offices. Starbucks is a strong fit for mid-income families and professionals who frequent medical offices and salons, drawing daily traffic and aligning well with the family-oriented customer base.

In-line Tenant (A-14 to A-15-A) – Verizon

Verizon offers a strong NER of \$38.39, underscoring its potential to boost Tulaberry Plaza's revenue and contribute to long-term profitability. Its wireless services complement existing businesses by attracting consistent foot traffic, creating strong synergy. Verizon is also a great fit for the plaza's demographics, which include families and individuals with essential service needs.

In-line Tenant (A-10) - Salons

Salons, while typically variable, offer a stable NER of \$26 due to their regular customer base and resilience to economic fluctuations. They provide strong synergy with existing tenants next door, which also provides beauty, health, or personal care services. Salons are a strong fit for the family-oriented, mid-income demographic, as families and individuals frequently visit for personal care, aligning well with medical and service-related tenants.

In-line Tenant (B-2) - GameStop

GameStop shows a strong NER of \$49.97, ranking highest among all tenants. While GameStop may seem a weaker fit from a qualitative perspective—given its younger, male-dominated customer base, which contrasts with the family-focused, mid-income plaza demographic—it could still foster strong co-tenancy synergy, as gaming complements F&B offerings. A closer look at location B-2, where many tenants are fast-food restaurants like Quiznos and Papa John's, reveals that these businesses cater to the same income bracket, potentially enhancing compatibility.

Conclusion

The final list of selected tenants will be Planet Fitness, Verizon, Salons, Starbucks, GameStop. The following is some of the key metrics we used to evaluate the prospective tenants.

- **WAULT (by Area):** This metric assesses the average lease term based on the total square footage occupied by tenants, regardless of the rent they pay. With the implementation of the recommended tenants, the WAULT by area rises from 4.61 years to 8.91 years.
- **WAULT (by Rent):** It is widely used by investors to assess the financial stability of a portfolio. With the implementation of the recommended tenants, the WAULT by rent increases from 6.1 years to 13.2 years, reflecting a significant improvement in the portfolio's income stability.
- **Sector & Location:** When proposing in-line tenants, we consider not only the size of the shops to minimize reconfiguration but also the positioning of adjacent businesses, strategically placing prospective tenants accordingly. For example, a salon would be placed in unit A-10 due to its proximity to other health and beauty tenants, rather than in unit B-2.
- **Plaza Profile:** The current profile of the plaza is primarily F&B-driven with only a small retail presence. Beyond financial analysis, we aim to introduce retail tenants that enhance co-tenancy dynamics. For instance, GameStop is placed in the F&B section to generate complementary foot traffic, while Planet Fitness can drive additional traffic to both the F&B outlets and medical services, creating a synergistic environment that benefits the entire plaza.

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If you would like to explore further additional aspects of the report, I'm eager to continue the conversation. Thank you for your time and consideration, and I look forward to any feedback you may have to further refine my approach.